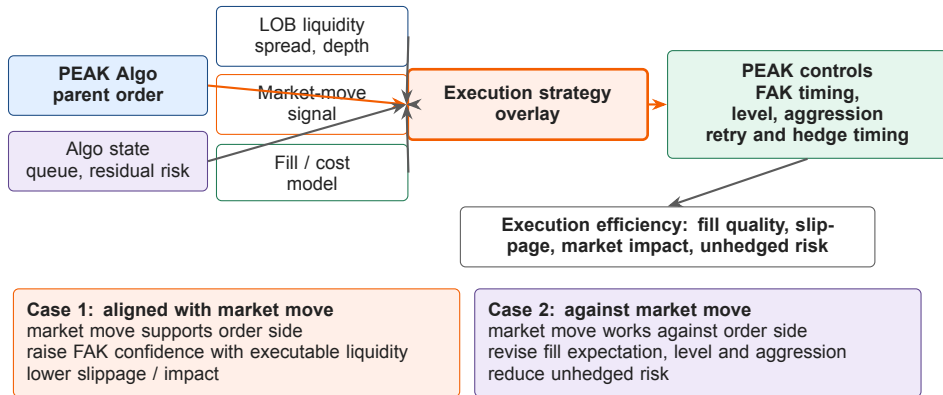


Liquidity-Aware Smart Execution

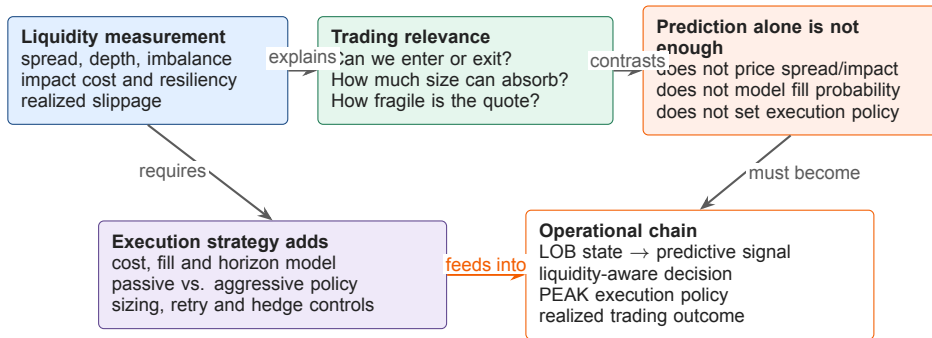
Microstructure Strategy for FMD and Peak Algo

Quant team | June 2026

■ FAK Order Execution in PEAk Algo



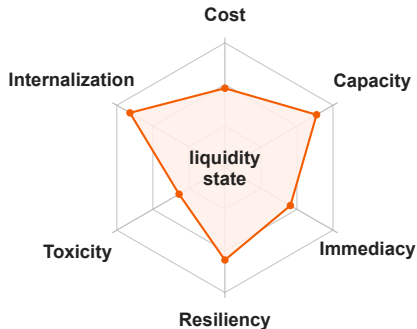
■ Liquidity Turns Prediction into Execution Strategy



Sustainable execution P&L requires both prediction and a measurable liquidity / execution model.

■ Liquidity is the True State Variable

$\mathcal{L}_t = \{\text{cost, capacity, immediacy, resiliency, toxicity, internalization}\}$



How to read the state

- ▶ **High capacity + fast resiliency:** raise FAK confidence.
- ▶ **High cost or toxicity:** revise fill expectation and aggression.
- ▶ **High internalization:** match internally before external routing.
- ▶ **Weak state:** delay, slice smaller, or hedge earlier.

Design principle

Price is the observation. Liquidity is the control state.

■ 0.01 bp as Attributed Efficiency Opportunity

Addressable efficiency
opportunity

90M

potential annual efficiency from 0.01 bp
saving

- ▶ 2025 flow: 45tn.
- ▶ Average duration: 2 years.
- ▶ $45tn \times 2 \times 0.01bp \approx 90M$.

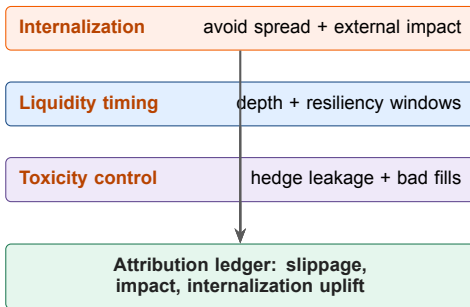
Replay

◀ Shadow

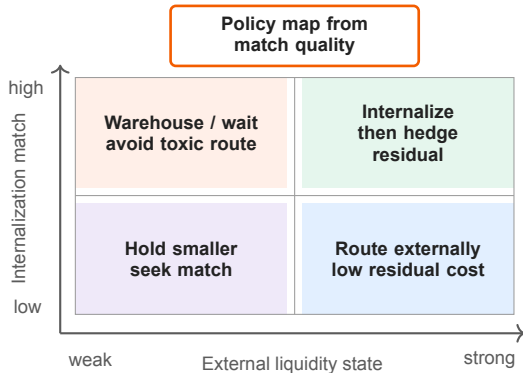
◀ Pilot

◀ Scale

Where the 0.01 bp opportunity comes from



Internalization: Match Before Route



Matching inputs

- ▶ Client orders, RFQ, axes and inventory.
- ▶ Side, tenor, size and urgency.
- ▶ Hedge cost, limits and residual risk.

Execution policy

- ▶ Internalize when match quality is high.
- ▶ Route only the measured residual.
- ▶ Measure savings vs. external route cost.